Shinhan Financial Group (055550 KS)

Non-interest income disappointing, but shareholder returns exceed expectations

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BUY (M)

Target price	W140,000 (M)
Previous target price	W140,000
Current price (Oct 27)	W85,800
Upside potential	63%

Market cap (Wbn)	40,279
Shares outstanding	462,911,723
Avg daily T/O (2M, Wbn)	112
Avg daily volume (2M, shrs)	1,072,251
52-week high/low (won)	114,600 / 73,300
Foreign ownership (%)	61.13%
Dividend yield (%)	7.40%
Major shareholders	NPS

Stock performance

(%)	1M	3M	12M
Absolute	(21.5)	(18.3)	15.2
Relative	(1.4)	(2.1)	(17.4)
Abs (US$)	(19.4)	(9.3)	24.6

3Q26 net profit in line with consensus

Shinhan Financial Group (Shinhan FG) reported 3Q26 net profit attributable to controlling interest of W1,584.6bn, in line with consensus. One-off items included W249.8bn in gains on building disposals recorded as non-operating income (bank: W84.2bn; card: W165.6bn) and W17.1bn in additional credit costs following assessments of real estate project finance (PF) viability. Non-interest income fell 45.5% QoQ, reflecting lower fee income due to weaker capital market-related revenue and reduced securities-related gains amid rising market interest rates. SG&A expenses declined QoQ as the impact of performance-based compensation at the securities subsidiary in 2Q faded. Credit costs fell 17.9% QoQ, reflecting the non-recurrence of provisions recognized in 2Q, including W30.0bn related to real estate PF viability assessments, W17.1bn for JoongAng Group, and W16.0bn for Homeplus.

W450bn share buyback announced; CET1 ratio at 13.62%

Shinhan FG announced a W450bn share buyback, with W200bn to be purchased by end-2026 and the remaining W250bn over Jan 1-Jan 26, 2027. Accordingly, we expect its total shareholder payout ratio to rise from 50.2% in 2025 to 51.1% in 2026. The expected total shareholder return yield for 2026 is 7.5%, comprising a 3.5% dividend yield and a 4.0% buyback yield.

CET1 ratio stood at 13.62%, up 12bp from 13.50% in 2Q. We estimate that the acquisition of an insurer will reduce CET1 ratio by 19bp.

Maintain BUY and target price of W140,000

We maintain BUY and our target price of W140,000. The W200bn buyback scheduled for November–December will likely account for approximately 5% of daily trading volume, providing downside support for the share price. Although the stock has underperformed significantly following the announcement of the insurance company acquisition, its current trailing P/B of 0.72x suggests that the acquisition-related correction has largely run its course and the valuation remains undemanding.

Quarterly earnings

(Wbn)	3Q26P	% YoY	% QoQ	Consens	vs consens (%)
Net op revenue	3,981	1.8	-13.2	4,238	-6.1
SG&A expense	1,588	4.6	-5.0	1,634	-2.8
Provisions	486	10.6	11.2	539	-9.8
OP	1,907	-2.4	-23.0	2,065	-7.7
Consolidated NP	1,610	10.9	-12.8	1,645	-2.2
NP, CI	1,585	11.3	-12.9	1,606.1	-1.3

Note: CI = controlling interest

Forecasts and valuations (K-IFRS, consolidated) (Wbn)

FY ends Dec	2024A	2025A	2026E	2027E
Net op revenue	14,674	15,439	16,696	17,527
OP	6,459	7,023	7,810	8,540
NP, CI	4,450	4,972	5,841	6,094
P/E (x)	5.3	7.4	8.3	7.7
P/B (x)	0.46	0.69	0.87	0.80
ROE (%)	8.1	8.7	9.9	9.9
ROA (%)	0.6	0.7	0.7	0.7

Source: Yuanta Securities

For analyst certification and other important disclosures, refer to the Appendix at the end of this report.

Quarterly earnings forecast (consolidated)

(Wbn)	3Q26P	Consensus	vs consensus	YoY (%)	QoQ (%)	3Q25	2Q26
Net op revenue	3,981	4,238	-6.1	1.8	-13.2	3,912	4,584
OP	1,907	2,065	-7.7	-2.4	-23.0	1,955	2,476
Net profit, CI	1,584.6	1,606.1	-1.3	11.3	-12.9	1,424	1,820

Source: company data, Yuanta Securities

Earnings forecast (consolidated)

(Wbn, %, %p)	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26P	4Q26E	2025	2026E
Net op revenue	3,794	4,129	3,912	3,603	4,212	4,584	3,981	3,918	15,439	16,696
Net interest income	2,855	2,864	2,948	3,028	3,024	3,134	3,191	3,208	11,694	12,558
Non-interest income	939	1,265	965	575	1,188	1,450	790	710	3,744	4,138
Commission income	678	762	768	713	941	1,189	860	850	2,921	3,840
Other non-interest	261	503	197	-138	247	261	-70	-140	823	298
Selling & admin expense	1,414	1,486	1,518	1,984	1,545	1,671	1,588	2,116	6,402	6,920
Pre-provision OP	2,380	2,643	2,394	1,619	2,667	2,914	2,393	1,802	9,036	9,776
Provisions	436	629	440	509	513	437	486	530	2,013	1,966
OP	1,944	2,014	1,955	1,110	2,154	2,476	1,907	1,272	7,023	7,810
Non-operating profit	61	58	-4	-210	67	40	204	-115	-94	196
Pre-tax profit	2,006	2,072	1,951	901	2,221	2,516	2,111	1,157	6,929	8,006
Consol. net profit	1,517	1,577	1,452	538	1,649	1,847	1,610	839	5,085	5,945
Controlling interest	1,488	1,549	1,424	511	1,623	1,820	1,585	814	4,972	5,841
Won-denominated loan growth (bank)	0.4	0.4	2.7	0.8	1.4	0.4	1.4	1.2	4.4	4.5
% in non-interest income	24.8	30.6	24.7	16.0	28.2	31.6	19.8	18.1	24.3	24.8
NIM (bank)	1.55	1.55	1.56	1.58	1.60	1.61	1.58	1.59	1.56	1.59
CIR (%)	37.3	36.0	38.8	55.1	36.7	36.4	39.9	54.0	41.5	41.4
CCR (bp)	0.41	0.59	0.40	0.46	0.45	0.38	0.42	0.46	0.45	0.42
NPL ratio	0.81	0.80	0.76	0.72	0.81	0.79	0.78	0.78	0.7	0.8
NPL coverage ratio	128.8	126.9	124.1	126.0	113.6	115.5	115.5	115.5	126.0	115.5
CET-1 (%)	13.27	13.62	13.56	13.35	13.30	13.50	13.62	13.48	13.35	13.48
ROE (%)	10.5	10.9	9.9	3.5	11.1	12.2	10.6	5.4	8.7	9.9
ROA (%)	0.8	0.8	0.7	0.3	0.8	0.9	0.8	0.4	0.7	0.7
Equities	56,818	57,190	57,871	57,959	59,059	60,101	59,735	60,230	57,959	60,230
Assets	746,222	752,691	782,940	786,013	816,712	840,894	829,945	834,868	786,013	834,868

Note: equities are based on controlling interest
Source: company data, Yuanta Securities

Valuation table

	Formula	Unit	Old (Jul 24, 2026)	New (Oct 28, 2026)	Note
Cost of equity (COE)	(C=a+(b*c)+d)		9.8	9.9	
Risk-free rate of	(a)	%	3.3	3.4	3-mo return on 1-yr monetary stabilization bond
Risk premium	(b)	%	5.1	5.1	
Beta	(c)		0.8	0.8	104-week adjusted beta
Ri	(d)	%	2.1	2.3	Reflected additionally given past COE
Average ROE	(B)	%	9.6	9.8	2026-2028 average ROE
Permanent growth	(D)	%	4.6	4.5	MIN (ROE x retention ratio, 3-mo return on 30-yr KTBs)
Target P/B	(A=(B-D)/(C-D))	X	0.98	0.99	
12-mo-fwd BPS	(E)	won	143,601	141,582	
Target price	(A*E)	won	**140,000**	**140,000**	
Current price (Oct 27)		won		85,800	
Upside potential		%		63.2	

Source: company data, Yuanta Securities

Earnings forecast revision

(Wbn, %)	Old		New		Difference	
	2026E	2027E	2026E	2027E	2026E	2027E
Net operating revenue	16,993	17,444	16,696	17,527	-1.7	0.5
OP	8,028	8,457	7,810	8,540	-2.7	1.0
Net profit, controlling	5,972	6,029	5,841	6,094	-2.2	1.1

Source: Yuanta Securities

Shinhan Financial Group (055550 KS) pro forma financial statements (K-IFRS, consolidated)

Statement of comprehensive income (Wbn)

FY ends Dec	2024A	2025A	2026E	2027E	2028E
Net interest income	11,402	11,694	12,558	13,003	13,134
Interest income	29,209	27,989	29,473	31,286	31,773
Interest expense	17,807	16,294	16,977	18,283	18,639
Non-interest income	3,272	3,744	4,138	4,525	4,826
Net commission	2,715	2,921	3,840	3,821	4,050
Other non-interest	557	823	298	704	776
Net operating revenue	14,674	15,439	16,696	17,527	17,960
Selling and admin expense	6,116	6,402	6,920	7,178	7,374
Pre-provision operating profit	8,558	9,036	9,776	10,350	10,586
Provisions	2,099	2,013	1,966	1,810	1,736
Operating profit	6,459	7,023	7,810	8,540	8,850
Non-operating profit	-430	-94	196	5	5
Pre-tax profit	6,029	6,929	8,006	8,545	8,855
Income tax	1,471	1,844	2,061	2,350	2,435
Tax rate	24	27	26	28	28
Consolidated net profit	4,558	5,085	5,945	6,195	6,420
Controlling interest	4,450	4,972	5,841	6,094	6,319
Non-controlling interest	108	113	103	100	100

Statement of financial position (Wbn)

FY ends Dec	2024A	2025A	2026E	2027E	2028E
Cash & cash equivalents	40,561	39,783	57,851	60,377	63,045
Securities	70,231	76,597	81,574	85,137	88,898
Loans	451,175	466,189	484,052	505,786	528,449
Tangible and intangible assets	10,278	10,046	9,724	9,634	9,629
Other	167,495	193,397	201,666	210,393	219,799
Assets	739,741	786,013	834,868	871,329	909,820
Deposits	422,781	447,649	470,166	490,106	511,359
Borrowings	49,920	55,395	62,673	65,331	68,164
Other	208,242	222,597	239,316	250,061	261,266
Liabilities	680,943	725,641	772,154	805,498	840,789
Equity, controlling interest	56,054	57,959	60,230	63,267	66,388
Capital stock	2,970	2,970	2,970	2,970	2,970
Hybrid bond	4,600	4,750	4,563	4,563	4,563
Capital surplus	12,095	12,099	2,233	2,233	2,233
Retained earnings	39,021	41,796	54,635	57,672	60,793
Other comprehensive income	-2,632	-3,655	-4,171	-4,171	-4,171
Equity, non-controlling interest	2,767	2,413	2,483	2,563	2,643
Equities	58,821	60,372	62,713	65,830	69,031

Growth (%)

FY ends Dec	2024A	2025A	2026E	2027E	2028E
NIM (bank)	1.58	1.56	1.59	1.56	1.52
ROE	8.1	8.7	9.9	9.9	9.7
ROA	0.6	0.7	0.7	0.7	0.7
CIR	41.7	41.5	41.4	41.0	41.1
Asset growth	6.9	6.3	6.2	4.4	4.4
Loan growth	9.1	3.3	3.8	4.5	4.5
Net profit growth	1.9	11.7	17.5	4.3	3.7

Valuations (won, x, %)

FY ends Dec	2024A	2025A	2026E	2027E	2028E
EPS	8,921	10,419	12,593	13,638	14,667
BPS	103,142	111,513	120,009	131,371	143,492
DPS	2,160	2,590	2,960	3,260	3,600
P/E	5.3	7.4	8.3	7.7	7.1
P/B	0.5	0.7	0.9	0.8	0.7
Dividend payout ratio	24.5	25.2	23.7	24.3	24.9
Dividend yield	4.5	3.4	2.8	3.1	3.4

Adequacy indicators (%)

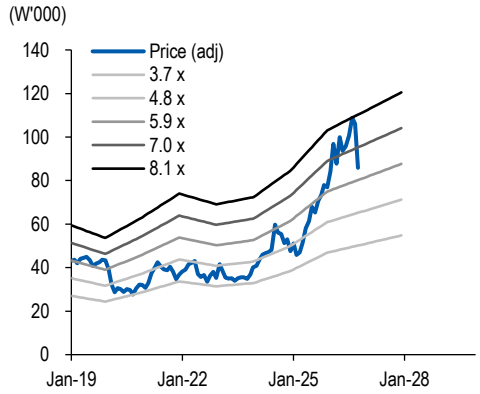
FY ends Dec	2024A	2025A	2026E	2027E	2028E
BIS capital adequacy ratio	15.8	15.9	15.5	15.5	15.4
Tier 1 capital ratio	14.8	15.0	14.7	14.7	14.7
CET1 capital ratio	13.1	13.4	13.5	13.5	13.6

Asset quality indicators (x, %)

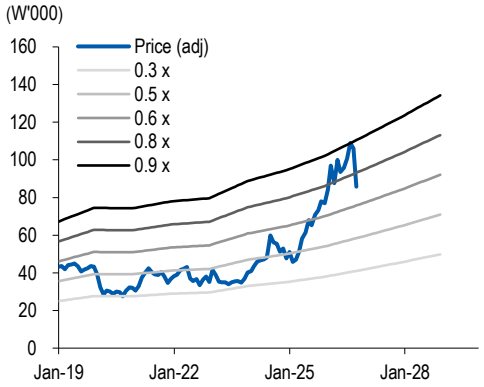
FY ends Dec	2024A	2025A	2026E	2027E	2028E
Substandard and below ratio	0.7	0.7	0.8	0.8	0.8
NPL coverage ratio	142.9	126.0	115.5	115.5	115.5
CCR	0.51	0.46	0.43	0.39	0.38

Note: CI = controlling interest
EPS, BPS, P/E and P/B are based on controlling interest.
For valuation metrics such as P/E, historical figures are based on annual average prices and estimates, on current price.
For ROA or ROE, assets and equity are averages of end-of-year figures for the given year and the year prior.
Source: Company data, Yuanta Securities

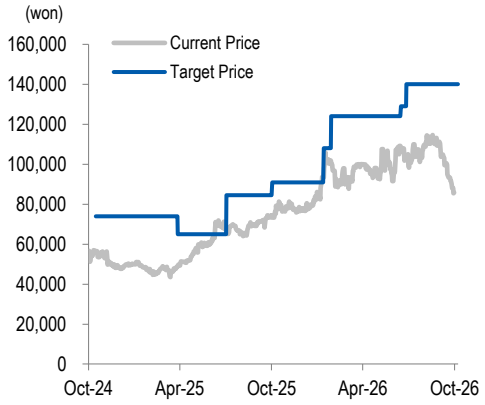
P/E band chart



P/B band chart



Shinhan Financial Group (055550 KS) ratings and target price history



Date	Rating	TP (won)	TP time frame	Difference (%)	
				vs avg price	vs high (low)
2026/10/28	BUY	140,000	1 yr		
2026/07/24	BUY	140,000	1 yr		
2026/07/13	BUY	129,000	1 yr	-18.44	-16.36
2026/02/24	BUY	124,000	1 yr	-21.81	-11.94
2026/02/09	BUY	108,000	1 yr	-5.90	-1.85
2025/10/29	BUY	91,000	1 yr	-12.73	2.86
2025/07/30	BUY	84,500	1 yr	-18.39	-11.83
2025/04/24	BUY	65,000	1 yr	-7.63	10.46
2024/11/11	BUY	74,000	1 yr	-33.45	-23.65

Note: Difference = (actual price* - target price) / target price x 100
* 1) The average price until the day target price was suggested
2) The highest (lowest) price until the day target price was suggested
Source: Yuanta Securities

Rating	Share (%)
STRONG BUY	0
BUY	96.9
HOLD	3.1
SELL	0
Total	100.0

Note: As of Oct 28, 2026 Excluding reports written or published by overseas affiliates

Appendix: Important disclosures

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I/We, as the research analyst/analysts who prepared this research report, do hereby certify that the views expressed in this report accurately reflect my/our personal views about the subject securities discussed in this report.

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- **Stock ratings** include an Investment Rating (Strong Buy, Buy, Hold, Sell) based on the expected absolute return of a stock over the next 6 -12 months.
- **- Strong Buy:** Expected to return 30% or more
  - Buy: Expected to return between 15% and 30%
  - Hold: Expected to return between -15 and +15%
  - Sell: Expected to return -15% or less
- **Sector ratings** suggest 6 to 12 - month forward investment weighting of a given sector compared to its market capitalization weighting.
  - Overweight: Investment weighting is higher than the market capitalization weighting
  - Neutral: Investment weighting is equal to the market capitalization weighting
  - Underweight: Investment weighting is lower than the market capitalization weighting

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